

FRVO

FRVO N/A

Buy	\$35.57 ▼ 2.97%	12M Price Target \$52.00	52-Week Range \$34.27 – \$42.65	Market Cap \$10.46B
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FRVO: Post-IPO Digestion Creates Entry; Reiterate Buy

WHAT'S CHANGED

- FRVO -2.97% to \$35.57 on heaviest volume since IPO (3.91M shares), extending a 5-session slide from \$39.51 (-10%); stock now sits at just 16% of 52-wk range and approaching IPO-day floor near \$34.27 despite Energy sector +1.79% on the day.
- Sentiment crosswinds: WSJ (5/25) flagged geothermal IPO halo effect while Simply Wall St (5/17) questioned valuation post early-stage losses — driving the post-IPO mean-reversion from the 42% debut pop.

IMPLICATIONS

The post-IPO unwind is decoupling from fundamentals: Technology +8.52% over 5 days underscores accelerating AI capex and hyperscaler power scramble — the exact thesis underwriting Fervo's Cape Station enhanced geothermal buildout and existing Google/hyperscaler PPAs. The 0.29 put/call ratio and unusual call positioning suggest sophisticated flow is using the drawdown to accumulate, with the \$25 put strike (well below spot) signaling tail-hedge rather than directional bearishness. We view current levels as a structural entry into the only scaled public pure-play on 24/7 carbon-free baseload for AI datacenters.

VALUATION

At \$10.46B market cap on ~\$185M FY26E revenue, FRVO trades at ~57x EV/Revenue FY26 and ~31x FY27 — rich vs. traditional IPPs but warranted given 80%+ projected revenue CAGR and contracted backlog visibility through Cape Station Phase II. Our \$52 PT (+46% upside) applies 25x FY27E EV/Revenue, a discount to comparable AI-infrastructure plays (NBIS, CRVV) reflecting execution risk on EGS drilling. Key multiple driver: incremental hyperscaler PPA announcements at >\$80/MWh pricing.

KEY RISKS

- Cape Station drilling cost overruns or thermal performance below 8 MW/well type curve materially impair project economics and refinancing capacity.
- Post-IPO lockup expiry (~180 days from May 14 debut → mid-November 2026) creates supply overhang risk with insiders at 22% ownership.
- Interest rate sensitivity: as a capital-intensive pre-FCF developer, FRVO's NPV compresses sharply on long-end rate backups; competing nuclear SMR narratives (Oklo, NuScale) could siphon AI-power capital.

RECENT NEWS

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17
Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-01 22:33 UTC

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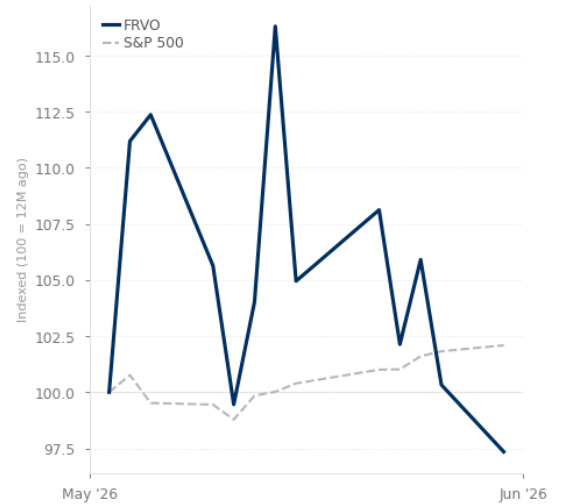
Key Data

Price (USD)	\$35.57
12M Price Target	\$52.00
Upside / (Downside)	+46.2%
Market Cap	\$10.46B
FY2026E Revenue	\$185M
FY2027E Revenue	\$340M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$42.00	\$38.00	\$32.00
6 Months	\$55.00	\$45.00	\$30.00
1 Year	\$68.00	\$52.00	\$28.00
2 Years	\$95.00	\$65.00	\$25.00
5 Years	\$160.00	\$100.00	\$20.00
10 Years	\$300.00	\$175.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+8.52% 5D), Energy (+1.79% 1D)

COLD SECTORS: Financials (-0.98% 5D), Industrials (flat)

ROTATION WATCH: Capital rotating into AI-infrastructure adjacencies — power, cooling, grid — as hyperscaler capex guides re-rate higher; geothermal benefits as nuclear permitting timelines extend.

BYPRODUCT PLAY: Drilling services (oilfield crossover names like LBRT, NINE applying frac expertise to EGS), specialty steel/casing suppliers, and transmission interconnection developers near Utah/Nevada geothermal corridors.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): Established geothermal incumbent benefiting from sector halo with stable cash flows — provides relative valuation floor for FRVO.
- VST (Vistra): +sector-leading YTD performance on AI-power thesis; demonstrates hyperscaler willingness to pay premium for firm capacity.

FRVO CONTEXT: FRVO is lagging the AI-power cohort post-IPO as the 42% debut pop unwinds, but the underlying thesis (24/7 carbon-free baseload for datacenters) remains the most direct pure-play. Relative weakness vs. ORA/VST is technical (post-IPO float dynamics) rather than fundamental.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$33-36 on post-IPO lockup volatility

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station project delays >6 months or hyperscaler PPA cancellations

Hedging: Pair long FRVO vs short broader clean energy ETF (ICLN/TAN)